

CHAPTER 6

Researching Your Investments

Research is essential to smart decision making.

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Before you put your hard-earned money into any investment, you need to do your research. Essentially, you need to understand what you are investing in and determine whether the investment you're considering has the potential for growth. Doing research, however, can be time-consuming and even overwhelming, especially if you are not sure what to look for or haven't done it before. Fortunately, once you understand what to look for, it gets easier to do. Researching your investment is extremely necessary in my opinion and something I highly recommend, even if you are working with the best investment advisor in the game.

Think about it this way: if you were going to purchase a car, it's more than likely that you'd spend time deciding on the make, model, and year of the car you want to buy. You'd probably also spend some time online browsing the Kelly Blue Book website or visiting a couple dealerships in person. And you'd certainly want to see the interior and test-drive the car before you bought it. You wouldn't just go with what the car salesman said was the best car.

Or say you were purchasing your first home. You'd do the research on neighborhoods and the commuting distance from your job or close family members and friends. You'd hire a home inspector to make sure there are no major issues with the systems in the home, and you'd work with your mortgage broker to shop around for the lowest interest rates you could get, right? A home and a car are big purchases, so you are more likely to make the effort to ensure you'll get what you want at the best price.

This same approach should apply to your stock market investments. Over time, your investments can add up to a massive amount of money—money that, based on your objectives, you'll most likely be applying to major life events like your retirement. Thus, it makes sense that you spend some time